PRE-CLASS READING · FINANCIAL STATEMENT ANALYSIS

Earnings per Share: Basic and Diluted

Ind AS 33, IFRS (IAS 33) and US GAAP (ASC 260) compared

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Why read this before class? Earnings per share is the number that markets, lenders and boards quote most often, and it is also one of the easiest numbers to move without changing the business. A buyback, a convertible issue or a bonus issue changes EPS even when profit is the same. This note gives you the logic of basic and diluted EPS, the rules in the three standards, and the points where the standards give different answers. The class problems will test whether you can apply it as a finance manager.

How to read the boxes. Each colour has one job, so you can find it again quickly.

Box	What it holds
Blue: Key idea	The concept to remember
Green: Rule	What the standard requires
Orange: Differs	Where Ind AS, IFRS and US GAAP give different results
Red: Challenge	Practical traps and common errors
Purple: Recent change	Amendments and new standards
Teal: Manager's lens	What a CFO or finance manager should ask

1. What EPS measures

Earnings per share expresses the profit that belongs to ordinary shareholders for each ordinary share. It answers a simple question: how much of this year's profit sits behind one share? Two versions are reported side by side.

- **Basic EPS** uses the shares that actually existed during the year (weighted over time).
- **Diluted EPS** asks a cautious question: if every instrument that could become an ordinary share did so, how low could EPS fall? It is a warning to investors about future claims on profit.

> **KEY IDEA**
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> **Basic EPS** = (Profit attributable to ordinary shareholders − preference dividends) ÷ Weighted average number of ordinary shares outstanding
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> **Diluted EPS** = (Same profit ± adjustments for dilutive instruments) ÷ (Weighted average shares + dilutive potential shares)
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> Diluted EPS can never be higher than basic EPS for the same profit. If an instrument would raise EPS, it is anti-dilutive and is left out.

2. Basic EPS: building the numerator and the denominator

The numerator

Start with profit or loss attributable to the owners of the parent, then deduct the claims of preference shareholders. Dividends on **cumulative** preference shares are deducted whether or not they are declared; for **non-cumulative** preference shares only the dividend declared for

the period is deducted. Amounts are taken after tax. Under Ind AS 33, any income or expense that would normally go to profit or loss but is taken to securities premium or other reserves is also adjusted when computing basic EPS (an Indian addition, see Section 5).

The denominator: weight shares by time

A share issued in January should count for only part of the year. The denominator is the opening shares, adjusted by the shares issued or bought back, each weighted by the fraction of the year it was outstanding. How the weights are set depends on what the company did.

Event	Effect on the share count	Restate earlier periods?
Fresh issue for cash	Counted from the date the cash is receivable	No
Bonus issue or share split	Counted as if it had always existed. No money came in, so nothing is time-weighted	Yes, all periods shown
Rights issue below market price	Part is a bonus element, part is a fresh issue. Use the theoretical ex-rights price	Yes, by the bonus factor
Buyback	Shares are removed from the date of buyback	No
Shares issued on conversion of a debenture	Counted from the date of conversion (before that, the effect shows up in diluted EPS)	No

RULE

Rights issue. Theoretical ex-rights price (TERP) = (Market value of all shares before the issue + Money raised) ÷ Shares after the issue. The adjustment factor for earlier shares = Price just before the rights ÷ TERP.

Example: one right share for every four held, issued at ₹200 when the cum-rights price is ₹250. TERP = (4 × 250 + 1 × 200) ÷ 5 = ₹240. Factor = 250 ÷ 240 = 1.0417. Shares outstanding before the issue are scaled up by 1.0417 in every period presented.

CHALLENGE

- **Time weighting is not the same as counting shares at year-end.** A mid-year buyback reduces the denominator only for the months after it.
- **Bonus and split are retrospective; fresh issues are not.** If a bonus issue happens after the year-end but before the accounts are approved, EPS for the year is restated.
- **Preference dividends reduce the numerator even when unpaid,** if the shares are cumulative.

3. Diluted EPS: the logic

Diluted EPS adjusts for **potential ordinary shares**: instruments and contracts that may entitle the holder to ordinary shares later. Common examples are convertible debentures, convertible preference shares, employee stock options (ESOPs), share warrants and shares that depend on a future condition (contingently issuable shares). Dilution is tested one instrument at a time, using the following steps.

- **Adjust the numerator.** Add back what the company would not have paid if conversion had happened: after-tax interest on convertible debentures and dividends on convertible preference shares.
- **Adjust the denominator.** Add the shares that would be issued on conversion, as if conversion took place at the start of the year (or on the issue date if later).
- **Options and warrants: treasury stock method.** Assume the exercise money buys back shares at the average market price for the period. Only the shares that are issued for no consideration are dilutive: Shares under option × (1 − Exercise price ÷ Average market price). If the average price is below the exercise price, there is no dilution.
- **Rank by dilution, most dilutive first.** For each instrument compute incremental earnings per incremental share. Add instruments in ascending order of this figure and stop when diluted EPS stops falling. Anything beyond that point is anti-dilutive.
- **Use the control number.** The test of whether an instrument is dilutive is made against profit from continuing operations attributable to the parent, not total profit. The same share count is then used for every per-share figure, including discontinued operations.

> **KEY IDEA**
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> **The incremental-EPS test, in one line.** Incremental EPS of a convertible debenture = After-tax interest saved ÷ Extra shares on conversion. If this is **lower than basic EPS**, the instrument is dilutive and goes in. If it is higher, leave it out.
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> Contingently issuable shares are included only if the condition would be met at the end of the reporting period (for example, an earn-out that depends on revenue already achieved).

A complete worked example

Bharat Foods Ltd earns a profit of ₹100 crore attributable to ordinary shareholders (tax rate 25 per cent). It has 20 crore ordinary shares for the whole year. It also has (a) ₹40 crore of 10 per cent convertible debentures, convertible into 4 crore shares, and (b) 1 crore employee options with an exercise price of ₹150, while the average market price for the year was ₹200. Basic EPS is 100 ÷ 20 = ₹5.00.

Step	Earnings added back (₹ crore)	Extra shares (crore)	Incremental EPS (₹)	Diluted EPS so far (₹)
Basic	–	–	–	100 ÷ 20 = 5.00
1. Options (treasury stock)	0	1 × (1 − 150 ÷ 200) = 0.25	0.00	100 ÷ 20.25 = 4.94
2. Debentures (if-converted)	40 × 10% × (1 − 0.25) = 3.00	4.00	3.00 ÷ 4.00 = 0.75	103 ÷ 24.25 = 4.25

Both instruments are dilutive because each incremental EPS is below the EPS at the point it is added, so **diluted EPS = ₹4.25 against basic EPS of ₹5.00**, a fall of 15 per cent. The options come first because they add shares without adding earnings. Had the average price been ₹140, the options would have been left out entirely.

Contingently issuable shares and participating shares

Contingently issuable shares arise from deals such as earn-outs, where shares are issued only if a condition is met (for example, revenue crossing a target). Under IAS 33 and Ind AS 33 they enter diluted EPS only if the condition would be satisfied if the reporting date were the end of the contingency period. **Participating shares** are preference or other shares that

share in dividends with ordinary shares. The **two-class method** divides profit in three steps: deduct the dividends declared for each class, share the undistributed profit between the classes in proportion to their participation rights, and divide each class's total by its own shares.

Presentation and disclosure

Both EPS figures must appear on the face of the income statement with equal prominence, for every period presented. The notes must reconcile the earnings and the share counts used in the two EPS calculations, list instruments that were left out because they were anti-dilutive, and describe share transactions after the year-end that would have changed the share count materially.

4. The three standards side by side

Ind AS 33 is based on IAS 33 and follows it closely, so most of what you learn about IFRS holds for Indian listed companies. US GAAP (ASC 260) reaches the same answer in many cases but not all. Rows shaded orange are the ones where a result can change. ASC 260 applies to public entities; IAS 33 applies to entities with publicly traded shares or in the process of listing, and Ind AS 33 applies to companies required to follow Ind AS under the Companies Act.

Topic	Ind AS 33	IFRS (IAS 33)	US GAAP (ASC 260)
Basic EPS numerator	Profit for the parent's equity holders less preference dividends; adjusted for items taken to reserves (extra paragraph)	Profit for the parent's equity holders less preference dividends	Income available to common stockholders after preferred dividends
Bonus, split, rights	Retrospective restatement; rights adjusted by TERP factor	Same as Ind AS	Same in substance
Mandatorily convertible instruments	Shares counted in basic EPS from the date the contract is signed	Shares counted in basic EPS from the date the contract is signed	Generally not in basic EPS (unless participating); enter diluted EPS by the if-converted method
Participating securities	Two-class method for participating equity instruments	Two-class method for participating equity instruments only; no detailed guidance	Two-class method for all participating securities, debt or equity, with detailed guidance
Convertible bonds and preference	If-converted method	If-converted method	If-converted method for all convertibles (since ASU 2020-06)
Options and warrants	Treasury stock method at average market price	Treasury stock method at average market price	Treasury stock method at average market price
Contingently issuable shares	Included only when the condition is met at the period end	Included only when the condition is met at the period end	Market-price-trigger features can enter diluted EPS if dilutive even when the trigger is not met
Interim and year-to-date diluted EPS	Each period computed on its own	Each period computed on its own, not a weighted average of the interim figures	Year-to-date uses the weighted average of the incremental shares from each interim period

Topic	Ind AS 33	IFRS (IAS 33)	US GAAP (ASC 260)
Where EPS is presented	Basic and diluted on the face of the statement of profit and loss, for consolidated and for separate statements	Face of the statement of profit or loss; consolidated only when both are presented	Face of the income statement; income from continuing operations per share is also required

WHERE THE STANDARDS DIFFER: WHAT CHANGES THE NUMBER

- **Mandatorily convertible instruments** are the clearest difference. IFRS and Ind AS treat the shares as outstanding from day one, because conversion depends only on time. US GAAP leaves them out of basic EPS unless they participate in dividends.

Illustration: profit ₹120 crore (after any dividends on the instrument), 10 crore shares, and a mandatorily convertible instrument that will convert into 2 crore shares. IFRS and Ind AS basic EPS = 120 ÷ 12 = ₹10.00. US GAAP basic EPS (non-participating) = 120 ÷ 10 = ₹12.00. Diluted EPS is ₹10.00 under all three.

- **Participating securities.** If a preference class shares in dividends with ordinary shares, US GAAP splits profit between the classes using the two-class method. IFRS does this only for equity instruments and gives little guidance.
- **Year-to-date and contingent shares** matter mainly for quarterly reporting and for deals with market-price triggers.

5. Ind AS 33: what is specific to India

- **Separate and consolidated statements.** Ind AS 33 requires EPS in both. IAS 33 requires it only in the consolidated statements when both sets are presented.
- **Items taken to reserves.** An extra paragraph in Ind AS 33 (after paragraph 12) says that income or expense that would normally pass through profit or loss, but is debited or credited to securities premium or another reserve, is adjusted in the basic EPS numerator. Check any scheme of arrangement or court-approved adjustment for this.
- **Presentation.** Basic and diluted EPS appear on the face of the statement of profit and loss, with equal prominence. A loss is shown as a negative EPS. For a discontinued operation, per-share amounts appear on the face or in the notes.
- **Language and layout.** Ind AS uses “statement of profit and loss” and “approval” of financial statements for issue; IAS uses “authorisation”. These are wording differences with no effect on the numbers.

6. Recent changes

RECENT CHANGES TO WATCH

- **ASU 2020-06 (US GAAP).** Convertible instruments must now use the if-converted method; the treasury stock method is no longer available for them. The presumption of share settlement for instruments that may be settled in cash or shares cannot be rebutted. It took effect for public companies (other than smaller reporting companies) from fiscal years beginning after 15 December 2021, and for others from fiscal years beginning after 15 December 2023. This moved US GAAP closer to IAS 33, which always used if-converted.
- **IFRS 18 (IFRS).** IFRS 18 replaces IAS 1 and amended IAS 33. If a company reports an extra per-share figure, the numerator must be an amount attributable to ordinary equity holders of the parent, taken from IFRS 18 totals or subtotals or from a management-defined performance measure. IFRS 18 applies for annual periods beginning on or after 1 January 2027. Check the status of the equivalent Ind AS before you rely on it for Indian companies.

7. Common traps

CHALLENGE

- Treating the **year-end share count** as the denominator and ignoring buybacks or issues during the year.
- Adding back **gross interest** instead of interest after tax on convertible debentures.
- Counting **options as dilutive when the average market price is below the exercise price**.
- Including every potential share without testing for **anti-dilution** in order of dilutiveness.
- Using total profit instead of **profit from continuing operations** as the control number.
- Forgetting to **restate** earlier EPS for a bonus issue or a rights issue.
- Quoting an EPS figure from a US-listed peer without checking whether a **mandatorily convertible instrument** or **participating preference** changes the basis.

8. The manager's lens

MANAGER'S LENS

A CFO uses EPS to judge three things: **how profitable the business is per share, how financing choices affect shareholders, and how much of the reported growth is real.** Before the class problems, practise asking these questions about any EPS figure:

- **Did profit grow, or did the share count fall?** A buyback can lift EPS even when profit is flat.
- **What is waiting in the wings?** Compare basic and diluted EPS. A wide gap means large convertibles, options or contingent shares.
- **Is the instrument really debt or equity for EPS?** A mandatorily convertible instrument can change basic EPS by standard.
- **Is the comparison like-for-like?** Restated earlier periods, a different control number and a different standard can each change the figure.
- **What does EPS ignore?** Capital employed, cash flow and risk. Read it with ROE and cash flow, not alone.

9. Self-check before class

SELF-CHECK (ANSWERS IN ITALICS)

Q1. A company issues a 1-for-1 bonus in the last month of the year. Is the new share count weighted for one month only, or counted in full? *In full: bonus shares are treated as outstanding from the start of the earliest period shown, and earlier EPS is restated.*

Q2. Options carry an exercise price of ₹250 and the average market price is ₹220. Are they dilutive? *No. The treasury stock method yields no free shares, so they are excluded.*

Q3. Convertible debentures give incremental EPS of ₹6 when basic EPS is ₹5. Include them? *No. They are anti-dilutive because incremental EPS exceeds basic EPS.*

Q4. A mandatorily convertible instrument is outstanding. Which standard gives the lowest basic EPS? *IFRS and Ind AS, because the shares are counted in basic EPS from the contract date.*

Q5. Name two reasons an Indian listed company's EPS can fall even though profit rose. *A bonus or rights issue (the denominator rises) and dilutive instruments such as ESOPs and convertibles.*

Sources checked for this note

IFRS Foundation, IAS 33 Earnings per Share (amendments from IFRS 18). Deloitte DART, Roadmap: Earnings per Share, Appendix A (US GAAP and IFRS differences) and Roadmap: IFRS and US GAAP comparison, section 4.5. PwC Viewpoint, IFRS and US GAAP: similarities and differences, diluted EPS. SEC staff paper, A Comparison of U.S. GAAP and IFRS (2011), section on earnings per share. PKF O'Connor Davies, summary of ASU 2020-06. TaxGuru, comparison of Ind AS 33 and IAS 33. Always confirm against the text of the standard before applying in a real engagement.